


Week ending: 29th October 2021

# Weekly Fixed Income Note

## Key Highlights:

- T-bills remained undersubscribed for the tenth week running with the overall subscription rate decreasing to **66.02%** compared to the **74.23%** recorded last week. This was partly attributed to the tightened liquidity during the week and the EABL corporate bond issue. The 182-day paper recorded the highest subscription at **74.16%** with the 364-day paper recording the lowest at **57.90%**. The CBK accepted **87.86%** of the KES **15.85 Bn** worth of bids received**. The current fiscal year borrowing is 31.82% ahead of prorated target.** The yield in all the papers continued their upward momentum by edging up by 2.0 bps, 6.9 bps and 13.4 bps for the 91-day,182-day and 364-day to close at **7.04%,7.49%** and **8.49%** respectively.

- The Central Bank is looking to raise **KES 50.0Bn** for budgetary support by issuing a new 5-year bond **FXD1/2021/5** whose coupon rate will be **market determined.** Similarly, the bank is reopening **FXD1/2019/20** with an effective period of 17.5 years and a coupon rate of **12.87%**. The period of sale is between 25/10/2021 to 09/11/2021. We will be issuing a bidding guidance in our upcoming primary auction note.

- In the secondary market, the value of bonds traded increased by **46.78%** to **KES 23.74 Bn** from **KES 16.18 Bn** recorded last week. On a year-to-date basis the yield curve has readjusted upwards in the mid range but held steady in the short and long end of the curve. FTSE Bond index closed the week at **96.73** taking the YTD loss to **0.79%.**

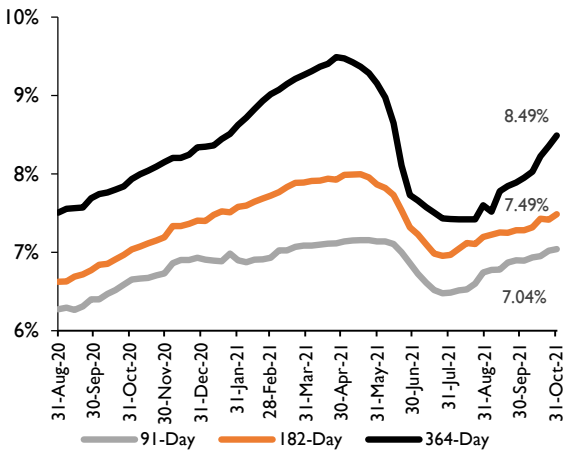
**We expect activity in the secondary bond market to cool off owing to investors targeting primary bond issuances in November and tightened liquidity. Continued borrowing by the government is likely to increase upward pressure across the yield curve, in the near term.**

| Macroeconomic data | Current | Previous |
|---|---|---|
| GDP (2020 vs. 2019) | (0.30%) | 5.00% |
| Inflation (October) | 6.45% | 6.91% |
| Private sector credit growth (August) | 7.00% | 6.10% |
| Money Supply (June) | 6.30% | 7.60% |

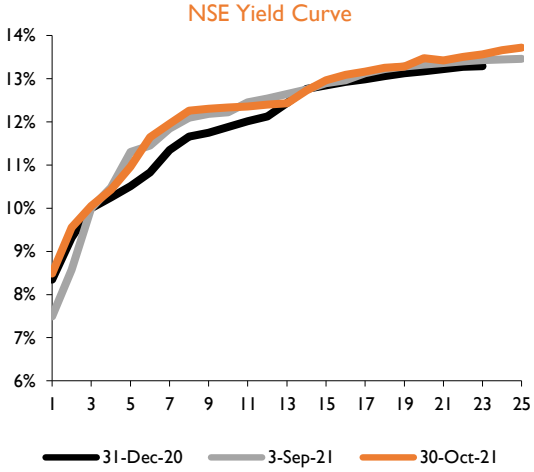
## Key Indicators

| | Current | Previous | % Change |
|---|---|---|---|
| 91- Day | 7.04% | 7.02% | 0.02% |
| 182-Day | 7.49% | 7.42% | 0.07% |
| 364-Day | 8.49% | 8.36% | 0.13% |
| Interbank Rate | 4.92% | 4.63% | 0.29% |

### T-Bill Rates




### NSE Yield Curve



## MACROECONOMIC NEWS

### Currency

The Kenya shilling lost ground against the dollar this past week depreciating by **0.14%** to trade at **111.21** from **110.06** at the close of last week. The shilling has depreciated by **1.81%** against the USD on a Year-To-Date basis. The CBK's usable forex reserves currently stand at **USD 9,175** million (**5.61** months of import cover), a **0.57%** week-on-week decline from **USD 9,228** million (**5.64** months of import cover) recorded last week.

**We expect the local currency to continue under pressure due to the increase in global oil prices, coupled with reduced dollar inflow from key export earning sectors such as agriculture and tourism.**

### Liquidity

Liquidity in the market tightened as reflected by the average interbank rate increasing marginally to **4.92%** from **4.63%** recorded in previous week.

**We expect the interbank rate to remain near the region of 5.00%, for the coming week, mainly driven by aggressive open market operations by the CBK, with government payment supporting inflows.**

### October Inflation

Headline inflation for the month of October decreased to **6.45%** from **6.91%** in September. This was partly attributed to a 0.35% decrease in the transport index following the decline in fuel prices in the monthly review. However, the y/y prices of food and non alcoholic beverage, transport and housing utilities indices increased to **10.60%**, **8.15%** and **5.80%** respectively. The non-food and fuel (core) inflation decreased to **2.20%** from **2.70%** on a month-on-month basis.

**Headline inflation is likely to remain above 6.0% on the back of higher food prices attributed to lower farm produce due to erratic weather patterns and elevated fuel prices.**


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